Should We Add a Free Tier

First-Principles Analysis

9 October 2026

Professional Strategic Analysis

Contents

Should We Add a Free Tier 3
Executive Summary 3
1. Problem Essence 3
2. Assumptions Table 3
3. Ground Truths 7
4. Derivation Chains 8
Conclusion C1: The breakeven free-to-paid conversion rate this business would need is small in percentage terms but highly sensitive to unmeasured cost and volume assumptions 8
Conclusion C2: This company's actual free-to-paid conversion rate is more plausibly below published freemium benchmarks than at or above them 9
Conclusion C3: A full, immediate self-serve freemium launch carries a real, unpriced risk of running below its own breakeven point as an ongoing net cash cost 9
Conclusion C4: A visible free tier creates channel-conflict risk against the existing outbound motion that compounds over 1-3 years if left unguarded 9
Conclusion C5: The real decision is which job a free tier would do for this business, not whether to copy competitors' mechanism wholesale 9
Conclusion C6: A bounded, sales-assisted, capped pilot — followed by a data-driven decision on full freemium — dominates both "launch now" and "do nothing" 10
5. Abandoned Reasoning 10
Dead End: Launch a full public self-serve freemium tier now, matching competitors directly 10
Dead End: Treat the published 2-5% industry freemium conversion benchmark as this company's expected conversion rate 11
Dead End: "Free-tier users don't pay, so there's no real downside to trying" (the cost-free framing) 11
6. Conclusion 11

Should We Add a Free Tier

First-principles analysis · 9 October 2026

Read with: How to read this analysis · All files

Executive Summary

Recommendation: Do not launch a full public self-serve free tier now. Run a bounded, sales-assisted, capped, time-boxed pilot (6-12 months, defined segment) with pre-committed numeric success/kill criteria tied to measured conversion and cost data, then decide on a full self-serve build from that evidence (chain C6).

Band (from §6): MEDIUM

Would change it: Measured pilot data replacing the bracketed free-tier cost-per-user, build cost, and signup volume (chain C1), and real conversion data in place of the external benchmark (chain C2); also the owner's explicit confirmation of the risk-priority weighting behind the trade-off (chain C6).

1. Problem Essence

Core problem: Given an outbound-only, $10K-ACV B2B SaaS business with no self-serve signup/onboarding infrastructure and zero internal free-to-paid conversion data, what is the lowest-risk path (if any) to capture whatever benefit competitors' free tiers are providing them, and does a full freemium launch clear its own build-and-run cost before the company commits to it?

Success criteria:

1. The answer names which specific job (or jobs) a free tier would actually need to do for this business — not merely "match competitors" — before any cost/benefit claim is made.
2. The answer prices the free tier's own cost (ongoing infra/support plus one-time engineering build) against a computed break-even conversion rate, using the given $10K ACV, rather than assuming a free tier is low-risk because non-paying users "don't cost anything."
3. The answer does not require picking only "launch a full public free tier" or "do nothing" — a staged, reversible, or composite path is evaluated on equal footing and chosen if it dominates.
4. The answer names concrete, cheaper experiments that would produce real conversion/cost data before a full build is committed, given that no self-serve channel exists today.
5. The recommendation states a confidence level and names exactly what evidence would move it.

2. Assumptions Table

Type	Accept	Challenge	Discard
physical law	0	0	0
current constraint	1	0	0
convention	0	1	1
untested belief	0	15	2

Shading darkens with count.
An untyped (legacy) row appears only for assumptions with no type.

Assumption	Type	Treatment	Verdict	Verification
A-1. All competitors offer a free tier,	convention	Explicitly challenge: does competitive parity on this one feature	Challenge — em-dash: competitive parity is a legitimate secondary	unverified — flagged; no data ties competitor free-tier presence to

Assumption	Type	Treatment	Verdict	Verification
therefore we should too.		actually drive buyer decisions for this ICP, or is it signal-value / bandwagon reasoning?	input (captured as a trade-off criterion) but is rejected as a standalone justification because it says nothing about whether the *mechanism* (self-serve conversion) would work here.	competitor performance (see A-15)
A-2. A free tier is primarily a conversion/ top-of-funnel mechanism.	untested belief	Verify which job the free tier actually needs to do; do not assume funnel-conversion is the only or primary job.	Challenge — em-dash: at least five distinct candidate jobs exist (market education, competitive defense/ parity signaling, land-and-expand inside existing accounts, product usage data/ signal, outbound lead-gen) and they carry different cost/infra requirements; which one matters most for this business is untested.	unverified — flagged; used in chain C5
A-3. Free-tier infrastructure and support are effectively free because those users don't pay.	untested belief	Verify against Finance's cost model.	Discard — em-dash: directly falsified by GT-4 (Finance confirms infra/ support costs scale with active users, not paying users).	source: GT-4 (Finance, stipulated)
A-4. Self-serve signup/ onboarding must be built before any free tier can launch.	current constraint	Record expiry conditions — this is true for a *public, fully unassisted* freemium model today; it lifts once that infrastructure is built (a real, currently-unscoped engineering cost).	Accept — em-dash: true now for a public self-serve freemium launch specifically; does **not** hold for a sales-assisted, capped pilot, which needs no new self-serve infrastructure (this distinction is the key unlock used in chain C6).	source: GT-3 (stipulated); expiry: once self-serve signup/ onboarding is built and in production
A-5. Published industry freemium conversion-rate benchmarks (2-5% median, 5-10% top performers) apply to this product and audience.	untested belief	Explicitly flagged as speculative by the business owner; treat only as an outside-view sanity bracket, not a prediction.	Challenge — em-dash: the reference class behind the benchmark is dominated by PLG-native companies with in-product growth loops and optimized self-serve onboarding; this company (GT-3) structurally differs, so the benchmark is a ceiling-ish sanity check, not an expectation (see chain C2).	unverified — flagged; cited as GT-7?, reported-by-delegate
A-6. Adding a free tier will not disrupt the existing $10K-ACV outbound sales motion.	untested belief	Challenge via second-order analysis (actor + time lens).	Challenge — em-dash: concrete channel-conflict and price-anchoring risk identified (chain C4); not disprovable without	unverified — flagged; used in chain C4

Assumption	Type	Treatment	Verdict	Verification
			a deliberately capped, guard-railed design.	
A-7. Whether to add a free tier is a single, binary, all-or-nothing launch decision.	convention	Explicitly challenge the binary framing before accepting it.	Discard — em-dash: a weighted trade-off across five options (status quo, full freemium, sales-assisted capped pilot, extended free trial, pilot-then-decide composite) shows a staged/composite path dominates both extremes (chain C6).	source: trade-off analysis, chain C6
A-8. A public free tier is the only way to capture whatever benefit competitors' free tiers provide.	untested belief	Challenge: identify cheaper alternative mechanisms for each candidate "job" named in A-2.	Challenge — em-dash: narrower mechanisms (sales-assisted capped access, extended free trial, free seats inside paying accounts) can plausibly capture several of the same jobs at a fraction of the cost/ risk (chain C5).	unverified — flagged; used in chain C5
A-9. If free-to-paid conversion turns out low, the worst case is simply "we didn't gain many customers" — no real downside.	untested belief	Challenge directly against Finance's cost model.	Discard — em-dash: falsified; GT-4 means a low-conversion free tier is a real, ongoing net cash cost (infra + support on every active free user), not a neutral outcome (chain C3).	source: GT-4; chain C3
A-10. A meaningful fraction of this company's ICP will self-select into an unassisted free signup without a salesperson in the loop.	untested belief	Verify; this is the single most load-bearing, most fragile premise in the entire analysis (surfaced via inversion).	Challenge — em-dash: unverified, and structurally in tension with GT-3 (the ICP is currently reached exclusively through high-touch outbound, which implies an economic buyer who may not be the same person who would self-serve-sign-up).	unverified — flagged; load-bearing; used in chain C2
A-11. Marginal infra+support cost per free active user, and the one-time engineering build cost, are low enough that the free tier can clear its own breakeven conversion rate.	untested belief	Verify via bracketed estimate (no internal data exists); numeric sub-components are A-18/A-19/A-20 below.	Challenge — em-dash: unverified; bracketed via the estimate procedure in chain C1 rather than measured.	unverified — flagged; load-bearing; used in chain C1
A-12. Sales ops/ leadership can cheaply triage free-signup "noise" so outbound reps aren't burdened with low-intent leads.	untested belief	Verify via pilot design (guardrails, qualification criteria).	Challenge — em-dash: unverified; design-dependent, addressed as a required pilot-charter element in the pre-mortem disposition (Cluster 1).	unverified — flagged

Assumption	Type	Treatment	Verdict	Verification
A-13. The free tier can be scoped tightly enough (features/seats/usage caps) that it does not cannibalize the existing $10K paid offer.	untested belief	Verify via deliberate scoping; load-bearing for protecting current ACV.	Challenge — em-dash: unverified; this is exactly the risk identified in the second-order actor-lens pass (chain C4) — a prospect using "free" as a stalling/negotiating tool.	unverified — flagged; load-bearing; used in chain C4
A-14. The engineering effort to build self-serve signup/onboarding can be scoped and bounded before a full commitment is made.	untested belief	Verify; no internal estimate currently exists (confirmed by the absence of any such flow per GT-3).	Challenge — em-dash: unverified; no internal engineering estimate exists yet, so an external, bracketed figure is used for modeling only (A-19/GT-9?).	unverified — flagged; load-bearing
A-15. Competitors' free tiers are causally linked to their growth/win-rate, not merely correlated with those competitors having been PLG-native from inception.	untested belief	Challenge directly; this undercuts A-1′s force.	Challenge — em-dash: no evidence offered for the causal link; competitors' free tiers may simply reflect that they were built self-serve-first, a starting condition this company does not share (GT-3).	unverified — flagged; used in chain C5
A-16. *(Surfaced during the end-of-Phase-4 Assumption Audit, from chain C4.)* Absent explicit guardrails, sales reps will treat a free tier as an ad hoc discounting/stalling tool rather than as a bounded data-gathering instrument.	untested belief	Verify via pilot charter design; treat as a known behavioral risk of any uncapped incentive.	Challenge — em-dash: plausible given ordinary sales-incentive dynamics, unverified for this specific team; mitigated only by an explicit, written pilot policy (pre-mortem Cluster 1 disposition).	unverified — flagged; used in chain C4
A-17. *(Surfaced during the end-of-Phase-4 Assumption Audit, from chain C6.)* Minimizing the cost of a wrong bet is the business owner's actual top priority right now, ahead of fast competitive-positioning signaling.	untested belief	This is a value judgment the analysis made on the owner's behalf when weighting the trade-off criteria; it should be explicitly confirmed or re-weighted by the owner.	Challenge — em-dash: this is a priority call, not an empirical fact; the trade-off result (chain C6) is sensitive to it and the owner should confirm it explicitly.	unverified — flagged; named weak link on chain C6
A-18. Assumed bracket: free-tier annual infrastructure + support cost per active free user ≈ $30–$200/year (central ≈ $100), unmeasured.	untested belief	Verify via a real pilot, which would generate actual cost-per-free-user data.	Challenge — em-dash: no internal figure exists; bracketed from general SaaS cost-structure reasoning only, not measured for this product.	unverified — flagged; elevated for use as GT-8?
A-19. Assumed bracket: one-time engineering cost to build self-serve signup/onboarding ≈ $150K–$400K (central ≈ $250K), unmeasured.	untested belief	Verify via an actual engineering scoping exercise (not performed in this analysis).	Challenge — em-dash: no internal estimate exists (consistent with GT-3 — this capability doesn't exist yet); bracketed from rough team-cost reasoning (2-3 engineers + design/	unverified — flagged; elevated for use as GT-9?

Assumption	Type	Treatment	Verdict	Verification
			PM slice over 2-4 months).	
A-20. Assumed bracket: annual free-tier signup volume N ≈ 500–5,000 signups/year (central ≈ 2,000), unmeasured.	untested belief	Verify via pilot; no self-serve acquisition channel exists today to produce a real baseline.	Challenge — em-dash: no internal figure exists; bracketed only because no inbound/self-serve channel has ever existed at this company (GT-3).	unverified — flagged; elevated for use as GT-10?

3. Ground Truths

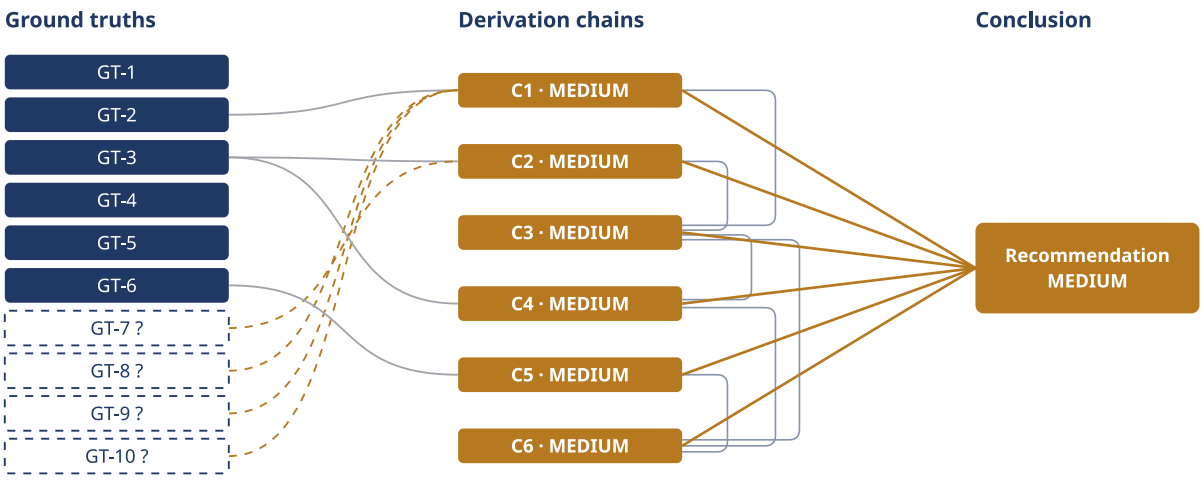
- **GT-1** Current state is $2.4M ARR from 240 paying teams/customers. — source: stipulated by business owner as a verified input for this analysis; provenance: stipulated-by-requester (business owner's own figures, given as ground truth per the request, not re-derived).
- **GT-2** Average ACV ≈ $10,000/team/year. — source: stipulated by business owner, and independently recomputed here: $2,400,000 ÷ 240 = $10,000 exactly; provenance: stipulated-by-requester, confirmed by recompute (see Phase 5 Recompute).
- **GT-3** Go-to-market today is 100% outbound sales + referrals; there is no self-serve inbound channel, no PLG motion, and no signup/onboarding flow built for unassisted use. — source: stipulated by business owner; provenance: stipulated-by-requester.
- **GT-4** Finance has confirmed that free-tier infrastructure and support costs scale with *active* users, not paying users — hosting, support tickets, onboarding emails, etc. all scale with free-tier usage regardless of whether those users ever pay. — source: stipulated by business owner (Finance's own determination); provenance: stipulated-by-requester. This is the ground truth that falsifies A-3/A-9.
- **GT-5** The company has never run a freemium pilot; no internal free-to-paid conversion data exists for this product or audience. — source: stipulated by business owner; provenance: stipulated-by-requester.
- **GT-6** All competitors in this space currently offer a free tier. — source: stipulated by business owner; provenance: stipulated-by-requester.
- **GT-7?** A secondary source (getmonetizely.com) attributes to OpenView Partners' 2022 SaaS Benchmarks Report a median freemium-to-paid conversion rate of 2–5% across B2B SaaS companies, with top performers reaching 5–10%. — cited to: OpenView Partners' 2022 SaaS Benchmarks Report; reported-by-delegate: this analysis read the secondary article directly (https://www.getmonetizely.com/articles/freemium-conversion-rate-the-key-metric-that-drives-saas-growth) and confirmed its wording via a direct fetch, but the original OpenView report itself was not opened — the figure's chain of custody back to the primary source is unverified, so it keeps the `?`. Used only as an outside-view sanity bracket (chain C2), never as a prediction for this company.
- **GT-8?** Assumed bracket (not measured): free-tier annual infrastructure + support cost per active free user ≈ $30–$200/year, central ≈ $100. — unverified: no internal pilot or usage data exists to measure this (consistent with GT-5); elevated from assumption A-18 for use in the Phase 4 estimate (chain C1).
- **GT-9?** Assumed bracket (not measured): one-time engineering cost to build self-serve signup/onboarding ≈ $150,000–$400,000, central ≈ $250,000. — unverified: no internal engineering scoping has been performed (consistent with GT-3 — the capability doesn't exist yet); elevated from assumption A-19 for use in chain C1.
- **GT-10?** Assumed bracket (not measured): annual free-tier signup volume N ≈ 500–5,000 signups/year, central ≈ 2,000. — unverified: no self-serve acquisition channel currently exists to produce a real baseline (consistent with GT-3); elevated from assumption A-20 for use in chain C1.

Provenance summary (required):

```
?-marked: GT-7, GT-8, GT-9, GT-10 (4 of 10)
Read-at-source: GT-2 — recomputed independently from GT-1 ($2,400,000 ÷ 240 = $10,000; see Phase
5 Recompute)
```

GT-1, GT-3, GT-4, GT-5, GT-6 are stipulated-by-requester ground truths (the business owner's own given facts, explicitly excluded from re-derivation by the request) and feed chains at MEDIUM/LOW band throughout this analysis because every chain that touches them also carries at least one `?`-marked numeric input — no chain in this analysis is rated HIGH, so the HIGH-band read-at-source requirement does not bind on them beyond GT-2's recompute, which is named above.

4. Derivation Chains



Solid = read at source · dashed = not read at source (?) · fill = confidence · amber dashed = unverified input

Conclusion C1: The breakeven free-to-paid conversion rate this business would need is small in percentage terms but highly sensitive to unmeasured cost and volume assumptions

GT-2 (ACV $10,000) + GT-8? (assumed free-tier cost/user $30-200/yr) + GT-9? (assumed self-serve build cost $150K-400K) + GT-10? (assumed signup volume 500-5,000/yr) → applying the estimate procedure's decomposition, breakeven conversion rate r = c/ACV + E_annual/(N×ACV), amortizing the one-time build cost over 24 months → at the low-cost/high-volume end of the brackets (c=$30, N=5,000, E_annual=$75,000) r ≈ 0.45%, and at the high-cost/low-volume end (c=$200, N=500, E_annual=$200,000) r ≈ 6%, with a central-case estimate (c=$100, N=2,000, E_annual=$125,000) of r ≈ 1.6% → applying the theoretical-limit procedure, the ideal floor for this breakeven rate as N grows without bound and the build cost amortizes toward zero is c/ACV alone, roughly 0.3%-2%, so the realistic bracket (0.45%-6%) already sits close to that floor at low volume and well above it at high cost → the breakeven threshold for this business is a real, computable number, but it is highly sensitive to scale and cost assumptions this company has never measured, not a fixed, easily-cleared hurdle

Confidence: MEDIUM — GT-8?, GT-9?, and GT-10? are all unverified numeric brackets built from outside reasoning, not internal data; the verification that would remove each as a cause of this downgrade is running the pilot recommended in chain C6 to measure actual free-tier cost-per-user, build cost, and signup volume directly, replacing each bracket with a measured figure.

Conclusion C2: This company's actual free-to-paid conversion rate is more plausibly below published freemium benchmarks than at or above them

GT-3 (100% outbound motion, no self-serve infrastructure) + GT-7? (secondary-sourced benchmark: 2-5% median, 5-10% top performers) → the reference class behind GT-7? is dominated by companies that are PLG-native from inception, with in-product growth loops and self-serve-optimized onboarding — capabilities GT-3 confirms this company does not have *[Assumes: A-10]* → absent evidence that this company's ICP will self-select into unassisted free signup the way that reference class's ICP does, this company's actual free-to-paid conversion rate is more plausibly positioned well below the published 2-5% median than at or above it

Confidence: MEDIUM — GT-7? is a secondary-sourced figure not independently verified at its primary source (the original OpenView report was not opened by this analysis); the verification that would remove it as a cause of the downgrade is either opening that original report directly or, more decisively, generating this company's own measured conversion data via the pilot recommended in chain C6. Rivals axis: a live rival is not ruled out — this company's buyer persona may include more bottom-up/self-serve adopters than assumed, which nothing in this analysis settles; it is named here rather than entered in Abandoned Reasoning because it remains live.

Conclusion C3: A full, immediate self-serve freemium launch carries a real, unpriced risk of running below its own breakeven point as an ongoing net cash cost

C1 (breakeven bracket 0.45%-6%, central 1.6%) + C2 (actual conversion plausibly below even the low end of published benchmarks) → a full, immediate self-serve freemium launch is exposed to running below its own breakeven point, and GT-4 confirms infra/support costs accrue on every active free user regardless of whether that user ever converts → this exposure is a real, ongoing net cash cost, not merely "we gained fewer customers than hoped" — directly rebutting A-9's "no real downside" framing

Confidence: MEDIUM — capped at the lowest-rated chain its head cites (both C1 and C2 are MEDIUM); no new downgrade cause of its own beyond what those two chains already carry. Rivals axis: a live rival is not ruled out — strategic/positioning value alone might justify the cost regardless of unit economics; this is named again on chain C6 and on the §6 Conclusion, where it is ultimately resolved only by A-17 (the owner's own priority call), not by further analysis.

Conclusion C4: A visible free tier creates channel-conflict risk against the existing outbound motion that compounds over 1-3 years if left unguarded

C3 (unpriced financial exposure) + GT-3 (100% outbound motion today) →[2nd] a visible free tier gives prospects a credible stalling/anchoring option during negotiation, and gives reps an incentive to use "free" as an ad hoc discount absent explicit policy *[Assumes: A-16]* →[3rd] left uncontrolled, this compounds from negligible in months 0-3, to measurable sales-cycle elongation and price pressure by year 1-2, to a structural, expected fallback referenced in competitive deals by year 2-3 → this channel-conflict cost is not captured anywhere in C1's unit-economics model and must be priced as a separate risk layered on top of the breakeven question

No contradiction with any named ground truth was found in this second-order extension; it does not route back to Phase 2 (it surfaced a new assumption, A-16, which was added to the Assumptions Table per the end-of-phase Assumption Audit, rather than contradicting an existing ground truth).

Confidence: MEDIUM — capped by C3 (MEDIUM); additionally rests on an unpriced behavioral premise, A-16, about sales-rep incentive response under a new pricing lever; the verification that would remove it as a cause of the downgrade is a written, enforced pilot playbook (see the pre-mortem's Cluster 1 disposition in the Adversarial pass record) together with observed rep behavior during the pilot itself.

Conclusion C5: The real decision is which job a free tier would do for this business, not whether to copy competitors' mechanism wholesale

GT-6 (all competitors offer a free tier) → a free tier is not necessarily a conversion funnel; it may instead serve market education, competitive-defense/parity signaling, land-and-expand within already-paying accounts, product usage data/signal, or outbound lead-generation *[Assumes: A-2]* → if the job this business

actually needs solved is competitive-parity signaling or land-and-expand rather than net-new self-serve acquisition, a narrowly scoped mechanism (sales-assisted capped access, an extended free trial, or free seats inside existing paying accounts) can plausibly deliver much of that value without the ground-up self-serve acquisition infrastructure GT-3 confirms doesn't exist *[Assumes: A-15]* → the real decision is not "build a public freemium funnel" but "identify which job the free tier is actually for, and size the solution to that job"

Confidence: MEDIUM — the Inputs ceiling from the head alone is HIGH (GT-6 is an unsuffixed, stipulated fact), but the Inference axis is short: both hops rest on unpriced premises, A-2 and A-15, that this chain has not priced, which caps the band at MEDIUM regardless of the clean head; the verification that would close this is direct customer/prospect research (for example, structured interviews on recently-lost or recently-won competitive deals) to identify which job, if any, a free tier would actually be hired for here.

Conclusion C6: A bounded, sales-assisted, capped pilot — followed by a data-driven decision on full freemium — dominates both "launch now" and "do nothing"

C3 (full freemium's unpriced financial and channel-conflict risk) + C4 (unpriced financial and channel-conflict risk) + C5 (narrower, cheaper mechanisms can plausibly capture much of the same strategic value) → a weighted trade-off across five options (status quo, full public freemium, sales-assisted capped pilot, extended free trial, pilot-then-decide composite) on six criteria (de-risking the core unknown, cost-to-implement-now, channel protection, competitive-positioning benefit, speed-to-data, reversibility) — with "full freemium as the first move" knocked out by a must-have (no full build commitment before conversion data exists) — scores pilot-then-decide 101, sales-assisted-pilot-alone 98, extended free trial 90, status quo 71 *[Assumes: A-17]* → pilot-then-decide weakly dominates the next-best single-mechanism option — tied on five of six criteria, ahead only on the competitive-positioning-optionality criterion — so no single-criterion reweighting reverses the ranking → the recommended path is a bounded, sales-assisted, capped, time-boxed pilot with pre-committed success/kill criteria, followed by a data-driven decision on a full self-serve freemium build

Confidence: MEDIUM — capped at the lowest-rated chain its head cites (C3, C4, and C5 are all MEDIUM); additionally rests on A-17, the trade-off's criterion weighting, which reflects a judgment call about the owner's priorities rather than a verified fact; the verification that would remove it as a cause of the downgrade is the owner explicitly confirming (or correcting) that weighting — specifically, whether de-risking the wrong-bet cost genuinely outranks fast competitive-positioning signaling right now.

Unverified input rule (D-07) summary: Chain C1 carries three `?`-marked inputs (GT-8?, GT-9?, GT-10?); chain C2 carries one (GT-7?); chains C3, C4, C5, and C6 carry no direct `?`-marked inputs but are each capped at MEDIUM by citing at least one MEDIUM-rated chain on their head, per the lowest-cited-chain ceiling. No chain in this analysis is rated HIGH or LOW.

5. Abandoned Reasoning

Dead End: Launch a full public self-serve freemium tier now, matching competitors directly

What was tried: Treating "all competitors have a free tier" (GT-6) plus general freemium benchmarks (GT-7?) as sufficient justification to commit to building and launching full public self-serve signup/onboarding immediately.

Why abandoned: The weighted trade-off in chain C6 knocks this option out as a first move via an explicit must-have (no full engineering build commitment before any conversion data exists), and its underlying premises — A-10 (ICP will self-select into free signup) and A-15 (competitors' free tiers are causally linked to their growth) — are both unverified per chain C2 and chain C5. The reasoning is circular: it uses the absence of data as a reason to skip gathering data.

What it ruled out: Confirms that a full public launch should not be the first move; it remains a legitimate eventual destination if a cheaper pilot (chain C6) produces supporting data.

Dead End: Treat the published 2-5% industry freemium conversion benchmark as this company's expected conversion rate

What was tried: Using GT-7? as a point prediction for this company's own free-to-paid conversion rate, to size the opportunity before building anything.

Why abandoned: Chain C2 shows the reference class behind GT-7? is structurally different from this company (PLG-native origin vs. 100% outbound, per GT-3); the business owner also explicitly flagged any conversion assumption as speculative (GT-5). Treating an unrelated reference class's median as this company's expected value conflates correlation-with-category with a company-specific forecast.

What it ruled out: Confirms GT-7? may be used only as an outside-view sanity bracket (as done in chain C1′s theoretical-limit framing), never as a planning number.

Dead End: "Free-tier users don't pay, so there's no real downside to trying" (the cost-free framing)

What was tried: Treating a free tier as a low-risk, reversible experiment with no material downside, since non-converting free users generate no revenue but also (it was assumed) no real cost.

Why abandoned: Directly falsified by GT-4 (Finance's confirmation that infra/support costs scale with active users, not paying users) and formalized in chain C3 — a low-conversion free tier is a real, ongoing net cash cost, not a neutral outcome.

What it ruled out: Confirms that any go/no-go analysis of a free tier must price its ongoing cost explicitly (chain C1), not treat it as free optionality.

Note on a rival that was *not* abandoned: The rival view that strategic/positioning value alone could justify a free tier's cost regardless of unit economics is a live, unresolved rival, not a dead end — it is named on chains C3 and C6 and on the Conclusion below, and it is resolved only by the business owner's explicit confirmation of priority (A-17), not by further analysis. It is recorded here only to make clear it was not silently dropped.

---

6. Conclusion

Recommended approach: Do not launch a full public self-serve free tier now. Instead, run a bounded, sales-assisted, capped, time-boxed pilot (6-12 months, targeted at a defined segment) with pre-committed, numeric success/kill criteria tied to measured conversion and cost-per-user data, and use that data to make the full-freemium build decision from evidence rather than from competitor-matching (chain C6).

Key insight: The blocking question is not "should we have a free tier" but "which job would a free tier actually do for us" (chain C5) — and the second-largest unknown after that, the free-to-paid conversion rate, can be bounded (0.45%-6%, central ~1.6% breakeven, chain C1) and is more plausibly below industry benchmarks than at them for this specific GTM motion (chain C2), which is why committing $150K-400K of engineering plus an open-ended cost burden (chain C3) before testing that number is the real risk — not the absence of a free tier today.

Trade-offs acknowledged: This path delays the public competitive-positioning benefit of being able to say "we have a free tier" (chain C6, competitive-positioning criterion) and defers, rather than avoids, the self-serve engineering investment if the pilot succeeds (chain C1); it also accepts a small risk that the pilot leaks externally before the company has a confident public position (named in the Adversarial pass record, Cluster 3).

Confidence: MEDIUM — every chain this recommendation rests on is MEDIUM, and the Conclusion's own rating equals its weakest contributing chain's, per the calibration rule. The chains contributing below HIGH are C1 (three unverified numeric brackets — GT-8?, GT-9?, GT-10? — removable only by running the pilot itself), C2 (one unverified benchmark, GT-7?, removable by direct pilot data or by opening the primary OpenView report), C3/C4 (capped by citing C1/C2), C5 (unpriced job-identification premises A-2/A-15, removable by direct customer/prospect research), and C6 (rests on A-17, the owner's own priority weighting,

removable only by the owner’s explicit confirmation). One live rival remains unresolved by this analysis: that strategic/positioning value alone might justify moving faster regardless of unit economics (named on C3/C6) — this is a priority call for the owner, not a gap this analysis can close with more reasoning.